BRIEF
Daily Economic Intelligence
MORNING EDITION
SUNDAY, FEBRUARY 22, 2026

TODAY'S MACRO PICTURE

The U.S. economy shows signs of steady growth, with a GDP rise of 1.26% to $31,490.07 billion, accompanied by a slight decrease in the unemployment rate to 4.3%. Consumer confidence has surged by 6.62%, indicating improved sentiments among consumers. However, retail sales have slipped marginally by 0.02%, suggesting cautious consumer spending despite optimism. The Federal Funds Rate has also decreased to 3.64%, which could further support economic expansion.

CPI — INFLATION	UNEMPLOYMENT RATE	FEDERAL FUNDS RATE
326.6 (Index) ▲	4.3% ▼	3.64% ▼

ECONOMIC DATA

GDP

As of 2025-10-01

$31,490.1B

▲ +1.26% from previous

The GDP has increased by $392.04 billion over the last quarter, reflecting a 1.26% growth, suggesting a robust economic momentum. This indicates that the overall economic activity is positive, paving the way for potential investments.

Over the last ten periods, GDP has consistently increased from $28,074.846 billion to the current value, showcasing steady economic growth.

Investors could interpret this growth positively, potentially favoring equities and sectors directly tied to economic expansion.

10-PERIOD TREND

Date	Value	Change
Jul 2023	$28,074.8B	—
Oct 2023	$28,424.7B	+1.25%
Jan 2024	$28,708.2B	+1.00%
Apr 2024	$29,147.0B	+1.53%
Jul 2024	$29,511.7B	+1.25%
Oct 2024	$29,825.2B	+1.06%
Jan 2025	$30,042.1B	+0.73%
Apr 2025	$30,485.7B	+1.48%
Jul 2025	$31,098.0B	+2.01%
Oct 2025	$31,490.1B	+1.26%

Source: Federal Reserve FRED, Series: GDP

CPI — Inflation

As of 2026-01-01

326.6 (Index)

▲ +0.17% from previous

The Consumer Price Index has increased by 0.17%, indicating slight inflationary pressures. This moderate inflation could have implications for consumer purchasing power and monetary policy.

CPI has generally trended upwards over recent months, signaling ongoing inflationary trends in essential goods and services.

Sectors sensitive to inflation, such as consumer staples and energy, may experience varied impacts depending on how inflation trends evolve.

10-PERIOD TREND

Date	Value	Change
Apr 2025	320.3 (Index)	—
May 2025	320.6 (Index)	+0.10%
Jun 2025	321.4 (Index)	+0.25%
Jul 2025	322.2 (Index)	+0.23%
Aug 2025	323.3 (Index)	+0.35%
Sep 2025	324.2 (Index)	+0.30%
Nov 2025	325.1 (Index)	+0.25%
Dec 2025	326.0 (Index)	+0.30%
Jan 2026	326.6 (Index)	+0.17%

Source: Federal Reserve FRED, Series: CPIAUCSL

Unemployment Rate

As of 2026-01-01

4.3%

▼ -2.27% from previous

The unemployment rate has decreased by 0.10%, reflecting tighter labor markets and increased job stability. Lower unemployment often correlates with greater consumer spending.

The unemployment rate has shown fluctuation, stabilizing around the current value of 4.3% after some upward movement in the previous months.

A decreasing unemployment rate may boost confidence in consumer-driven sectors, positively impacting retail and services.

10-PERIOD TREND

Date	Value	Change
Apr 2025	4.2%	—
May 2025	4.3%	+2.38%
Jun 2025	4.1%	-4.65%
Jul 2025	4.3%	+4.88%
Aug 2025	4.3%	+0.00%
Sep 2025	4.4%	+2.33%

Date	Value	Change
Nov 2025	4.5%	+2.27%
Dec 2025	4.4%	-2.22%
Jan 2026	4.3%	-2.27%

Source: Federal Reserve FRED, Series: UNRATE

Federal Funds Rate

As of 2026-01-01

3.64%

▼ -2.15% from previous

The Federal Funds Rate has decreased by 0.08%, signaling a potentially more accommodative monetary policy which may support borrowing and investments.

Overall, the trend in the Fed rate shows a continual decline from 4.33% earlier last year, easing financial conditions.

Lower interest rates may lead to higher asset prices, particularly in equities and real estate as borrowing becomes cheaper.

10-PERIOD TREND

Date	Value	Change
Apr 2025	4.33%	—
May 2025	4.33%	+0.00%
Jun 2025	4.33%	+0.00%
Jul 2025	4.33%	+0.00%
Aug 2025	4.33%	+0.00%
Sep 2025	4.22%	-2.54%
Oct 2025	4.09%	-3.08%
Nov 2025	3.88%	-5.13%
Dec 2025	3.72%	-4.12%
Jan 2026	3.64%	-2.15%

Source: Federal Reserve FRED, Series: FEDFUNDS

Retail Sales

As of 2025-12-01

$734,967M

▼ -0.02% from previous

Retail sales have experienced a slight decline of 0.02%, indicating some hesitance in consumer spending trends. This could raise concerns about short-term consumer

health.

Retail sales have shown minor fluctuations in recent months, highlighting possible cautiousness among consumers despite positive economic outlooks.

Such a trend might presage slower growth in consumer discretionary sectors, necessitating close monitoring for potential impacts on equities.

10-PERIOD TREND

Date	Value	Change
Mar 2025	$722,572M	—
Apr 2025	$721,789M	-0.11%
May 2025	$716,101M	-0.79%
Jun 2025	$723,033M	+0.97%
Jul 2025	$727,727M	+0.65%
Aug 2025	$731,700M	+0.55%
Sep 2025	$732,192M	+0.07%
Oct 2025	$731,051M	-0.16%
Nov 2025	$735,085M	+0.55%
Dec 2025	$734,967M	-0.02%

Source: Federal Reserve FRED, Series: RSAFS

Consumer Confidence

As of 2026-01-01

56.4 / 100

▲ +6.62% from previous

Consumer confidence rose sharply by 6.62%, reaching a level not seen recently. This indicates increased optimism about job prospects and personal financial situations.

The trend shows a volatile yet overall increasing pattern over the last few months, reflecting recovery in consumer sentiments.

Improved consumer confidence could lead to higher consumer spending, favoring retail and hospitality sectors.

10-PERIOD TREND

Date	Value	Change
Apr 2025	52.2 / 100	—
May 2025	52.2 / 100	+0.00%
Jun 2025	60.7 / 100	+16.28%

Date	Value	Change
Jul 2025	61.7 / 100	+1.65%
Aug 2025	58.2 / 100	-5.67%
Sep 2025	55.1 / 100	-5.33%
Oct 2025	53.6 / 100	-2.72%
Nov 2025	51.0 / 100	-4.85%
Dec 2025	52.9 / 100	+3.73%
Jan 2026	56.4 / 100	+6.62%

Source: Federal Reserve FRED, Series: UMCSENT

MARKET IMPACT

OUTLOOK

The current economic indicators suggest a cautiously optimistic outlook for markets. The steady GDP growth and decreasing unemployment rate, paired with improved consumer confidence, indicate potential market resilience. However, flat retail sales and continued inflation signals warrant close attention as they could temper growth expectations.

SECTORS TO WATCH

Consumer Discretionary
▲ Positive
Strengthened consumer confidence may boost spending in this sector.

Financials
▲ Positive
Decreasing interest rates may enhance profitability for banks and lenders.

Utilities
→ Neutral
Stable demand even in inflationary conditions favors utility stocks.

Consumer Staples
→ Neutral
Inflation could pressure margins but consistent demand can stabilize performance.

Retail
▼ Negative
Mixed signals from retail sales suggest caution in investment, potentially negative.

STOCKS TO WATCH

Ticker	Company	Outlook	Reasoning
AMZN	Amazon.com, Inc.	▲ Positive	Benefits from heightened consumer spending and improved confidence.
JPM	JPMorgan Chase & Co.	▲ Positive	Low interest rates likely to enhance lending margins.

Ticker	Company	Outlook	Reasoning
WMT	Walmart Inc.	→ Neutral	Market leader in consumer staples, resilient to inflation trends.
TGT	Target Corporation	→ Neutral	Performs well with buoyant consumer sentiment but faces mixed retail indicators.
XOM	Exxon Mobil Corporation	▼ Negative	Highly sensitive to inflation and commodity price fluctuations.
COST	Costco Wholesale Corporation	▲ Positive	Strong retail performance linked to consumer spending trends.

This is not financial advice. Stock mentions are AI-generated based on economic data patterns and are for informational purposes only. Always conduct your own research.

MARKET NEWS

No news items.

DATA SOURCES & METHODOLOGY

DATA SOURCES

Indicator	Series ID	Source	Frequency	Retrieved
GDP	GDP	Federal Reserve Bank St. Louis	Quarterly	2025-10-01
CPI — Inflation	CPIAUCSL	Federal Reserve Bank St. Louis	Monthly	2026-01-01
Unemployment Rate	UNRATE	Federal Reserve Bank St. Louis	Monthly	2026-01-01
Federal Funds Rate	FEDFUNDS	Federal Reserve Bank St. Louis	Monthly	2026-01-01
Retail Sales	RSAFS	Federal Reserve Bank St. Louis	Monthly	2025-12-01
Consumer Confidence	UMCSENT	U. of Michigan	Monthly	2026-01-01

Economic data is retrieved directly from the Federal Reserve Economic Data (FRED) API maintained by the Federal Reserve Bank of St. Louis. AI insights are generated using OpenAI's GPT-4o-mini model. News headlines are sourced from NewsAPI.org. This report is generated automatically at 7:00 AM ET each trading day.

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Brief

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